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MARKET MONITOR

No.41 – September 2016

Roundup

Improved crop prospects and plentiful export availabilities contributed to further declines in international prices of the four AMIS crops. Production forecasts have been raised since the previous report in July, in particular for maize and soybeans due to favourable weather conditions in major producing regions in the northern hemisphere. Although weather may still alter the outlook for crops to be harvested in 2016/17 season, particularly in the southern hemisphere, global markets are expected to experience a relatively calm outlook thanks to generally ample inventories.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	▲	▼
Soybeans	▲	▼

▲ Easing

■ Neutral

▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production in 2016 to reach all-time high despite a sharp downgrading of EU crops.
- Utilization in 2016/17 higher than anticipated earlier, given the prospects for larger feed use because of ample supplies of low quality wheat.
- Trade forecast for 2016/17 (July/June) scaled up sharply with low prices boosting import demand, especially in Asia and Africa.
- Stocks forecast (ending in 2017) raised sharply, now exceeding their opening levels, mostly on higher anticipated inventories in China.

WHEAT

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	7-Jul	8-Sep
734	732	741
943	944	966
715	726	729
165	159	164
225	217	233

in million tonnes

USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Aug		25-Aug
735	743	736	743
951	985	939	961
709	733	722	732
171	171	165	162
242	253	217	229

- **Maize** production forecast for 2016 raised sharply, mostly on exceptional yield expectations in the US.
- Utilization in 2016/17 to expand, underpinned by strong growth in demand for feed use.
- Trade forecast for 2016/17 (July/June) lifted on higher import expectations in South America.
- Stocks (ending in 2017) adjusted upwards with most of the increase in the US, reflecting the latest upgrading of maize production prospects.

MAIZE

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	7-Jul	8-Sep
1004	1018	1030
1230	1237	1249
1007	1030	1029
139	132	135
219	207	217

in million tonnes

USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Aug		25-Aug
960	1028	969	1030
1168	1235	1175	1237
959	1017	969	1019
120	137	135	131
206	221	207	218

- **Rice** production in 2016 scaled up, as improved weather in Asia and less attractive prices for alternative crops boost plantings.
- Utilization in 2016/17 to grow by 1.4 percent y/y thanks to expanding food use.
- Trade in 2017 lowered marginally, with reduced import expectations for the Philippines and Iraq partly offset by higher forecasts for Brazil.
- Stocks in 2017 upgraded by 1 million tonnes, on higher anticipated inventories in India, the US and Viet Nam.

RICE

(milled)

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	7-Jul	8-Sep
491	495	496
665	665	666
496	503	503
43.5	43.8	43.7
170	165	166

in million tonnes

USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Aug		25-Aug
471	481	473	484
585	593	589	598
474	479	475	482
41.2	40.7	40.3	40.3
112	114	114	116

- **Soybean** 2016/17 production raised as favourable weather is expected to boost US crop prospects.
- Global 2016/17 utilization increased slightly, now up 4.2 percent from 2015/16.
- Trade in 2016/17 almost unchanged, with US sales revised sharply upwards at the expense of other exporters, notably Brazil.
- Stocks estimate (2016/17 carry out) raised on higher forecasts for the US and Argentina, although remaining well below the 2015/16 record.

SOYBEANS

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2015/16	2016/17	
est.	f'cast	
	7-Jul	8-Sep
316	319	326
360	361	368
318	330	332
133	136	136
43	32	36

in million tonnes

USDA		IGC	
2015/16	2016/17	2015/16	2016/17
est.	f'cast	est.	f'cast
	12-Aug		25-Aug
313	330	316	325
391	402	353	359
330	330	320	327
139	139	132	136
71	71	33	32



FAO-AMIS monthly forecast

For latest revisions to FAO-AMIS monthly forecasts for 2016/17 see next page.

To review and compare data, by country and commodity, across the three main sources, go to:

<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2016/17

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	8638	5027	2381	4985	16356	11977	3004	-1457	2995	10327
Total AMIS	9380	1995	1118	4955	13023	12167	1103	-3240	2126	10045
Argentina	-	-	50	-	317	1900	-	-600	2000	-
Australia	1616	-	126	-	796	-	-	-	-	-
Brazil	-143	-	-93	-	50	-5468	500	-1468	-4000	500
Canada	1587	-	497	-	550	-1051	400	-251	-	-400
China Mainland	-1670	500	-3000	-	16358	-1000	-	-2000	-90	-1720
Egypt	-	500	350	-	-725	-	-	-	-	-
EU	-12000	500	-400	-6000	-7600	-3000	-	-3000	-	-
India	3500	-200	450	700	2000	500	-	-	-	1310
Indonesia	-	-	-52	-	-	-	-700	-700	-	-
Japan	-	-	-	-	-	-	300	300	-	-
Kazakhstan	1000	-	-514	1000	-719	100	38	165	25	26
Mexico	-516	-	-516	200	-100	2246	-	2246	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	400	400	-	-	-300	-	-350	-	-250
Rep. of Korea	-	200	150	-	50	-	-	-	-	-
Russian Fed.	5000	-	500	4500	-303	-382	-	-382	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	141	350	41	-	250	136	-	136	-	-
Thailand	-	-	400	-	-	-1	-	-1	-	-
Turkey	-	-	-	400	-199	-	-	-	-	-
Ukraine	4240	45	-990	3700	941	10	-35	-410	1300	378
US	6625	-300	3674	500	1357	18377	400	2666	3000	10201
Viet Nam	-	-	45	-45	-	100	200	409	-109	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	687	-135	-566	-148	982	7018	885	1666	878	4196
Total AMIS	614	-110	-418	-160	910	7300	55	1243	738	4126
Argentina	-	-	-	-	10	1000	-	700	-200	2700
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-77	150	-34	-110	29	-1000	-	-1112	-200	100
Canada	-	-	-	-	-	283	-	-92	300	75
China Mainland	-137	-	-137	-	-	-	-450	100	-	-500
Egypt	-	-	-	-	-	-	-	-	-	-
EU	-	-	-	-	-	43	700	456	-12	-
India	405	-	-245	500	500	700	-	600	-	100
Indonesia	-	-	-	-	-	103	-23	110	-	-30
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-250	-46	-	25
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-300	-66	-	50	-	-	-	-	-
Rep. of Korea	-	-	-49	-	-11	-15	30	-5	-	-30
Russian Fed.	-	-	-	-	-	-	-150	-125	100	-100
Saudi Arabia	-	50	-	-	-	-	-	-	-	-
South Africa	-	-	-20	-	-20	21	35	50	-	6
Thailand	-	-	-250	-100	-	-	250	250	-	-
Turkey	-	-10	-12	-	-20	10	-25	-15	-	-
Ukraine	-	-	-	-	-	-650	-	-350	-250	-50
US	423	-	95	50	122	7076	-	680	1300	1905
Viet Nam	-	-	300	-500	250	12	-62	-50	-	-

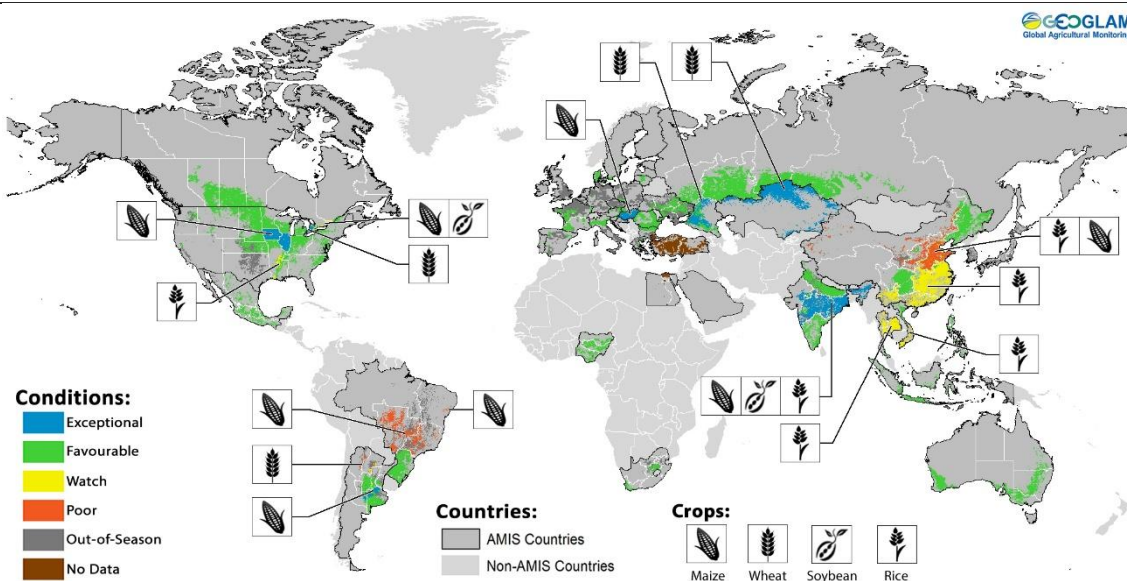
in thousand tonnes



Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 August)



Crop condition map synthesizing information for all four AMIS crops as of 28 August. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

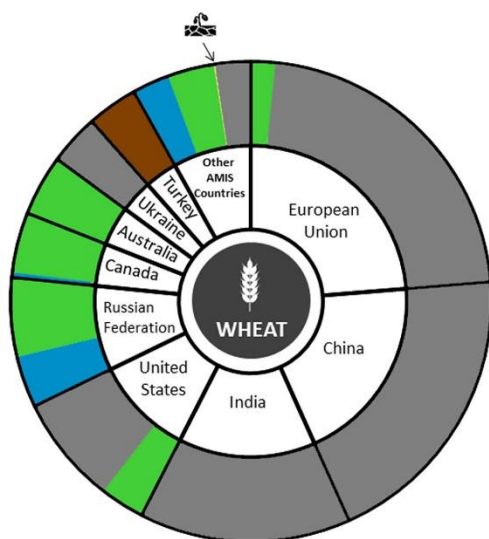
Wheat - In the northern hemisphere, overall wheat prospects remain good. The winter wheat season is drawing to a close and spring wheat harvest is ongoing under good conditions. In the southern hemisphere, conditions are favourable.

Maize - In the northern hemisphere, overall conditions and prospects remain good. With the exception of China and Canada, an average to above-average crop is expected in the main producing countries. In the southern hemisphere, the season is drawing to a close. In Brazil, overall conditions and production prospects are significantly reduced due to dry conditions and high temperatures. In Argentina, prospects remain favorable.

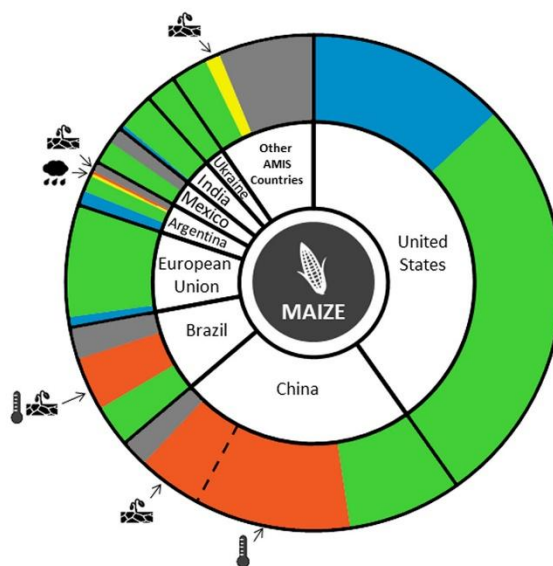
Rice - Overall rice conditions have improved in Southeast Asia owing to good rainfall. However, concern remains over the wet season rice in Thailand, and southern Viet Nam. In China, conditions are below average due to high temperatures in Lower Yangtze, and heavy rainfall in the south.

Soybeans - In the northern hemisphere, conditions remain generally favourable with a good crop expected in the US despite recent flooding in some regions. In the southern hemisphere, the season has completed in Argentina with near record production.

Conditions:



Drivers:

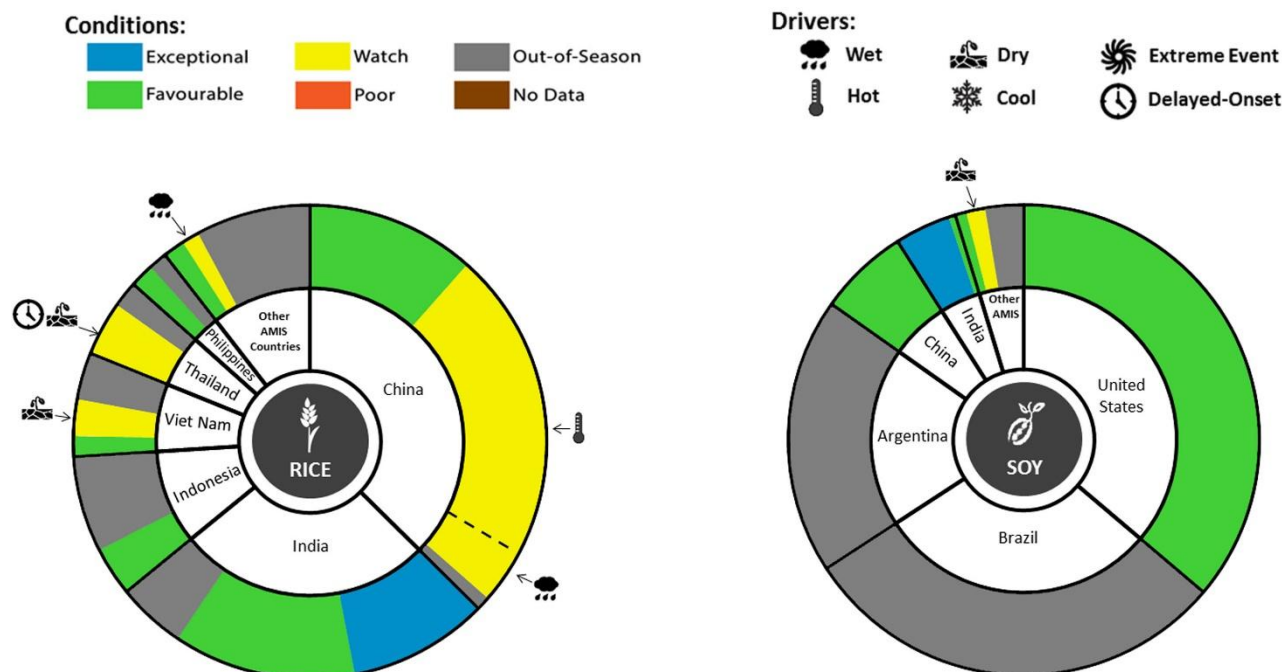


Wheat

In the **EU**, winter wheat harvest is ending in the northern European countries with production in line with the five-year average. In the **US**, spring wheat harvest is well underway and conditions are favourable throughout the northern tier of the US growing region. In **China**, spring wheat harvest has completed under generally favourable conditions. In the **Russian Federation**, winter wheat harvest is largely complete and conditions are exceptional. Planting has begun under favourable conditions for next year's winter crop. The spring wheat harvest began and conditions are favourable. In **Canada**, spring wheat conditions have deteriorated slightly due to wet conditions in the west and dry conditions in the east. Ontario winter wheat harvest has potential record yields. In **Ukraine**, harvest is complete with above average yields. In **Kazakhstan**, harvest is just beginning in the main production region, with high yields expected. In **Australia**, conditions are favourable with average to above-average rainfall during July and August that provided ample soil moisture for growth and development of crops. Rainfall in August improved the dry conditions in Western Australia. In **Argentina**, wheat planting has completed and is in generally favourable conditions. Poor soil conditions in the northwest and northern regions are causing some concern as the crop enters the critical heading stage.

Maize

In the **US**, conditions are favourable throughout the country and excellent in the heart of the Corn Belt itself, with a good crop expected. In **China**, overall conditions are generally poor, due to dryness in the north and high temperatures in the Loess and Huanghuaihai regions. In the **EU**, conditions are generally favorable, especially in Northern / Central Europe, and despite some worsening drought in Bulgaria and Romania. In **Ukraine**, conditions are favourable, with a good crop expected despite some minor damage caused by the dry conditions in July and early August. In **India**, conditions are generally favourable owing to ample rains, although pockets of dryness are reported. In **Mexico**, planting for the spring-summer cycle is 90 percent complete under favourable conditions and expected to be slightly higher than last year's area. In **Canada**, conditions remain mixed with reduced yields expected in the main producing provinces of Ontario and Quebec despite recent rains. In the **Russian Federation**, conditions are favourable and the crops have likely avoided damage due to high temperatures in July as they occurred before the critical reproductive stage. In **Nigeria**, conditions continue to be favourable with only limited damage along the Benue and Niger rivers due to flooding. In **Brazil**, harvest is complete this month for the summer-planted crop. With the exception of the southern region, conditions were generally poor conditions due to dry conditions and high temperatures earlier in the season. Overall production is expected to be down despite an increase in planted area. Planting of the spring crop has begun in the South under favourable conditions. In **Argentina**, conditions remain favourable to exceptional with the harvest progressing for the late planted maize with only a few delays due to rains.



Rice

In **China**, overall conditions for the three rice seasons are below average. High temperatures affected both late and single crop rice in the Lower Yangtze. Late rice was also below average in Southern China due to heavy rainfall and insufficient radiation. Single crop rice in Northeast China is in favourable condition. In **India**, conditions for the kharif crop are favourable to exceptional owing to the strong monsoon rains. In **Indonesia**, conditions are favourable for the dry season crop, and yields are expected to be higher than the last two years. However, planted area is decreased due to water shortages during planting. In **Viet Nam**, conditions are favourable in the northern and central regions, however dry conditions in the south are raising some concern for the wet season crop. In **Thailand**, development of the wet season crop has been delayed due to the delayed rainy season and a lack of irrigation water. Conditions have improved owing to recent rainfall. In the **Philippines**, conditions have improved and are currently favourable for the wet season crop owing to the recent average to above-average rainfall. In the **US**, conditions remain favourable except in the far south where losses are likely due to extreme flooding.

Soybeans

In the **US**, conditions are favourable across most of the country with the exception of minor areas in the southern states of Louisiana and Mississippi, where some of the crop is likely impacted by recent flooding. In **Canada**, rains alleviated stress from an abnormally dry summer in Ontario. Overall conditions remain mixed with the dry weather reducing yield expectations in the main producing province of Ontario and also in Quebec. In **China**, conditions are favourable and the crop is in the podding to seed-filling stage. In **India**, the crop is in the vegetative stage with favourable to exceptional conditions owing to the strong monsoon rains. Minor pockets of flooding occurred in some areas. In **Argentina**, harvest is complete with the second largest crop of the last five years.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 8 September 2016

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RICE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRR), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.

More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 8 July, the **Brazilian** Ministry of Agriculture authorized foreign laboratories to investigate and determine the class of wheat shipments imported into Brazil. The new instruction is believed to be crucial in reducing costs and increasing the efficiency of quality control procedures.
- On 1 August, in order to improve the quality and diversification of the domestic supply of wheat, the **Canadian** Grain Commission implemented a plan to include two new wheat classes (Canadian Northern Hard Red and Canada Western Special Purpose) and eliminate three others (Canada Western Interim Wheat, Canada Western General Purpose, and Canada Western Feed). The new policy could affect the types of wheat crops planted this season.
- After adopting the internationally-agreed maximum residue limit of 0.05 percent for ergot fungus in July, and imposing testing and inspection requirements on all shipments prior to offloading on 15 August, **Egypt** recently promulgated Decree No. 1117/2016 re-establishing a zero tolerance policy, amidst augmented confusion among traders and supplying countries.
- Following the news reported in the previous edition of the *AMIS Market Monitor*, **India** decided to further limit importation of wheat by extending the application of the 25 percent import duty until further notice.
- As a result of falling wheat prices, the Agriculture Minister of **Italy** announced a EUR 10 million (USD 11.3 million) allocation to support infrastructure investment in the domestic organic wheat sector and the establishment of a national single commission on durum wheat whose aim is to promote industry dialogue and transparent price formation.
- In late July, **Japan** temporarily suspended new purchases of the US Western White Wheat, based on reports that the Animal and Plant Health Inspection Service (APHIS) of the USDA was investigating traces of 22 bio-engineered wheat plants in the State of Washington.
- On 22 August, **South Africa** raised, for a second time in 2016, its wheat import tariff, from ZAR 224.41 (USD 16.54) per tonne to ZAR 519.40 (USD 38.28) per tonne. The increase in tariffs is in response to falling world prices and weakening local currency (Rand).

Maize

- As reported in the April edition of the *AMIS Market Monitor*, **China** ended its state purchasing and stockpiling programme for maize, replacing it with direct support payments, specifically allocated to four provinces. On 10 August, the government announced the release of the first round of subsidies for maize farmers in four provinces amounting to approximately USD 4.51 billion for next year.

Rice

- On 1 August, the **Indian** Ministry of Commerce issued Notification No. 18/2015-20, allowing the exportation of Basmati Rice (de-husked, milled or semi-milled) to Bangladesh and Nepal through land customs offices in the eastern and the north-eastern borders. In addition to sea ports, the policy is expected to facilitate exports of Basmati rice to both destinations, with quantities being subject to registration with the Directorate General of Foreign Trade. Moreover, as of 1 October 2016, certain exports of basmati rice (under Documents against Acceptance) must be backed by a bank or the Export Credit Guarantee Corporation of India, Ltd.
- Prior to the new harvest period starting in September, the government of **Thailand** is expected to put close to 1 million tonnes of old-crop 5-percent grade white rice and broken white rice to auction on 29/30 August. Out of a total tender of 8.5 million tonnes offered through multiple tenders since February, the government has reportedly sold around 3.2 million tonnes of rice, mainly consisting of 5-percent grade white rice and broken rice from the previous pledging scheme. The remaining rice stocks are currently estimated at 9 million tonnes.
- On 14 June, **Thailand** approved USD 193 million to stabilize rice paddy prices through an on-farm pledging scheme. The program ("Farmer Loans to Delay the Sales of Rice Paddy") will grant farmers in the north and north-east regions soft loans for rice production as well as a 3 percent interest rate discount for traders and processors to stockpile up to 8 million tonnes of rice for 2 to 6 months. Under a second scheme ("Rice Farmer Assistance Measure"), approved on 21 June with a budget of USD 1.3 billion to address the effects of severe drought, rice farmers will be eligible to receive a direct payment based on their rice paddy acreage (USD 29 for an equivalent of 0.16



AMIS Policy database

Visit the **AMIS Policy database** at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

hectares, for a maximum of 1.6 hectares). They will also be granted debt suspension for 2 years and an interest rate discount of 4 percentage points. Finally, farmers will be eligible to a USD 11 per hectare subsidy on premiums if they avail themselves of crop insurance against natural disasters.

Soybeans

- On 22 July, the **EU** approved two herbicide-resistant Monsanto's biotech soybean varieties ("Roundup Ready 2 Xtend" and "Vistive Gold") as well as Bayer's glyphosate-resistant ("Balance GT") to be sold in the EU for feeding purposes, a decision met with positive reactions from foreign soybean suppliers.

Biofuels

- Further to the June increase of the variable export tax on biodiesel from 3.96 percent to 5.04 percent, **Argentina** again increased the tax to 7.15 percent for July, but lowered it to 4.99 percent in August, prompting the biodiesel industry to call for greater stability of the government's taxation policy.
- On 28 July, the **Canadian** Ministry of Agriculture announced financial support to the Biomass Program operating in the Manitoba province, as part of the Growing Forward 2 strategy. The support in question will assist in transiting from coal-based energy to biomass fuel, mainly from agricultural residue such as wheat and flax straw. The federal and provincial governments have pledged investments of CAD\$ 176 million in order to emphasize the shift to renewable fuel.

Across the board

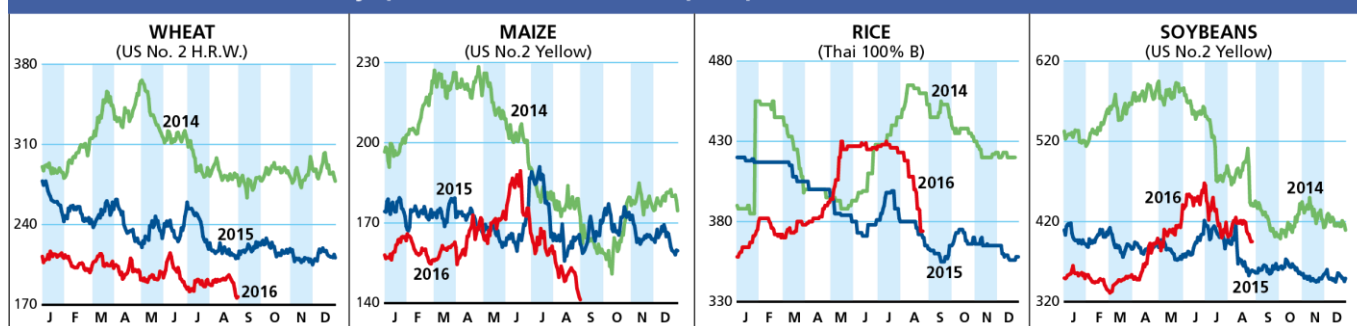
- Under the Minimum Price Guarantee income safety-net, in early July the **Brazilian** Ministry of Agriculture published a list of prices for maize, rice and beans that come into effect the current marketing season 2016/2017. The maize price increased by 21.68 percent from BRL 13.56 to BRL 16.50 per bag of 60 kg in Mato Grosso and Rondonia, while the price for fine long-grain paddy increased by 18 percent from BRL 29.67 to BRL 34.97 per bag of 50 kg. With domestic maize feed shortages increasingly affecting the pork and poultry sectors, the Ministry also pre-authorized the importation of US genetically modified maize, announcing later on 3 August that formal approval would be sought from the National Biosafety Technical Commission, in line with the Brazilian GMO policy.
- On 15 June, **Canada** postponed for one year the repeal of certain provisions of the Canada Transportation Act that were promulgated in 2014 by the Fair Rail for predictable conditions while Canada considers the recommendations presented in the report from the Canada Transportation Act Review

Grain Farmers Act (Bill C-30). Postponing the repeal of the provisions until August 2017 will allow the freight rail supply chain to operate under predictable conditions while Canada considers the recommendations presented in the report from the Canada Transportation Act Review Panel. Extending these provisions is viewed by grain shippers as positive for the grain supply chain to deliver on export commitments

- In launching its latest 5-year Plan for Science and Technology published on 15 August, **China** announced renewed efforts to increase the efficiency of production by allowing farmers to grow GMO crops of soybeans and maize.
- On 2 July, the **Egyptian** Minister of Agriculture announced the continuation of subsidized procurement of fertilizers until the end of September in order to increase the domestic supply of a range of commodities. Technical committees will be formed to ensure that fertilizers are channelled to the poorest farmers and agricultural cooperatives.
- The elimination of the per hectare crop subsidies in 1 January by the Ministry of Agriculture in **Kazakhstan** is believed to have affected planting decisions in favour of wheat to the detriment of oilseeds. Consequently, the Ministry reinstituted the subsidies in early July with the amount awarded based on the current area planted. Eligible crops include grains, oilseeds and feed crops.
- Aiming to boost seed quality and increase food security in West Africa, the National Agricultural Seeds Council in **Nigeria** launched an electronic seed platform on 1 August, with participation from 157 private seed companies contributing 70 percent of total seed requirements in the sub-region. This trade facilitating initiative will enable seed traders to better connect and exchange information, ultimately improving food security conditions.
- To boost exports and reduce large domestic supplies after this year's bumper crop, the **Russian Federation** Ministry of Agriculture recently proposed setting the wheat export duty to zero until 1 July 2018, in replacement of the floating wheat export tax, currently at 10 roubles (USD 0.1562) per tonne (but increasing when the rouble declines or when international wheat prices rise).

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)

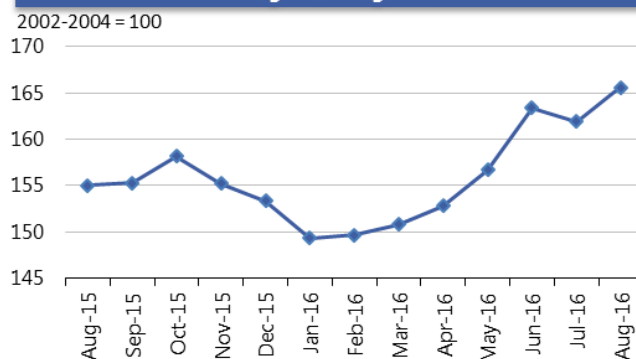
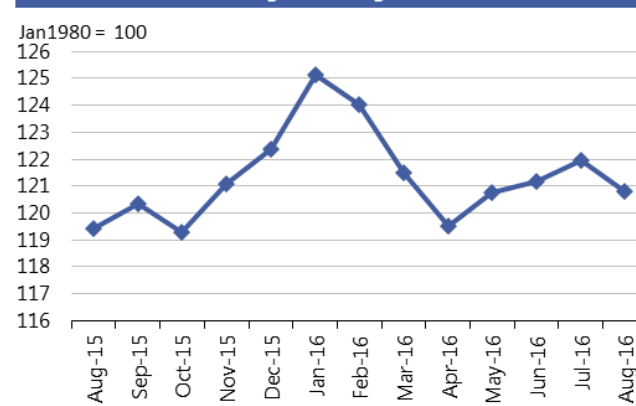


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	02-Sep	181	184	190	217	-1.6%	-16.5%
Maize (US No. 2, Yellow)	02-Sep	148	146	154	161	1.8%	-8.1%
Rice (Thai 100% B)	02-Sep	378	387	423	365	-2.3%	3.6%
Soybeans (US No.2, Yellow)	02-Sep	398	404	403	358	-1.5%	11.2%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	August 2016 Average	Monthly Change	Annual Change
Argentina	ARS	14.82	0.36%	-60.27%
Australia	AUD	1.31	1.19%	4.29%
Brazil	BRL	3.21	2.13%	8.64%
Canada	CAD	1.30	0.29%	1.09%
China	CNY	6.65	0.45%	-4.87%
Egypt	EGP	8.88	0.00%	-13.39%
EU	EUR	0.89	1.25%	0.56%
India	INR	66.92	0.34%	-2.78%
Indonesia	IDR	13,158.30	-0.41%	4.55%
Japan	JPY	101.29	2.67%	17.68%
Kazakhstan	KZT	343.83	-0.63%	-65.36%
Rep. Korea	KRW	1,110.33	2.69%	5.71%
Mexico	MXN	18.49	0.51%	-11.66%
Nigeria	NGN	316.83	-8.23%	-59.27%
Philippines	PHP	46.60	0.93%	-0.77%
Russian Fed.	RUB	64.92	-0.88%	1.04%
Saudi Arabia	SAR	3.75	0.01%	0.02%
South Africa	ZAR	13.79	4.18%	-6.78%
Thailand	THB	34.72	0.92%	1.95%
Turkey	TRY	2.96	0.44%	-3.64%
UK	GBP	0.76	-0.34%	-18.90%
Ukraine	UAH	25.13	-1.32%	-16.24%
Viet Nam	VND	22,268.65	0.04%	-0.50%

FAO Food Price Index
Aug2015 - Aug2016Nominal Broad Dollar Index
Aug2015 - Aug2016

Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Aug-16 Average	% Change	
		M/M	Y/Y
Wheat	151	-1.8%	-17.5%
Maize	128	-5.3%	-11.6%
Rice	217	-5.9%	-15.4%
Soybeans	372	-4.7%	+ 7.2%

Source: CME

Futures prices

Prices for wheat, maize, soybeans and rice fell m/m as most of the US growing regions experienced favorable crop conditions, upending some early forecasts of hot and dry weather. Wheat prices reached a ten year low as crop sizes in the Black Sea region were projected to increase significantly even though excessive rainfall in the EU caused substantial damage to wheat crop both in quantity and quality. Maize prices fell to a seven year low as the USDA projected a record 386 million tonne crop with record yields. For soybeans, also projected at record, prices declined but remained above last year's levels due to strong domestic and global demand. Rice prices also fell on projections of record US and global crop projections. Currencies in non-US export markets showed some improvements, but remain a compelling force in sustaining low commodities prices. On average, prices for wheat, maize, soybeans and rice were lower m/m by 1.8, 5.3, 5.9 and 4.7 percent respectively. Compared to a year ago, wheat, maize, and rice values were considerably lower at 17.5, 11.6 and 15.4 percent respectively while soybeans were 7.2 percent higher.

Volumes and volatility

Volumes were mixed m/m with maize staying steady, wheat rising by 28 percent and soybeans falling by 37 percent. Volumes were lower y/y for maize and soybeans while slightly higher for wheat. Implied volatility and historical volatility both registered moderate declines m/m and y/y for all three commodities.

Basis levels and transport

Basis levels for maize were quoted at substantial discounts to futures prices in the domestic market, defying the usual seasonal pattern of year-end supply tightness. Gulf export maize values, which have crept higher since June, stood at USD 19 per tonne over December futures. Soybean basis levels, however, in key states such as Illinois were at premiums to futures prices. Export soybean values were quoted at a lofty level of USD 39 over the November contract, rising USD 15 per tonne since July. Heavy flooding in the coastal state of Louisiana did not materially impact shipments from the New Orleans gulf, which normally accounts for half of US total grain/oilseed exports. The wheat basis remained in post-harvest doldrums quoted at significant discounts to futures in the domestic markets. US exports, which faced stiff competition from Canada, the EU, Australia and

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Aug-16	Jul-16	Aug-15
Wheat (Nearby)	25.7	28.0	31.1
Maize (May)	27.5	37.4	35.2
Rice (Nearby)	32.9	27.0	20.4
Soybeans (Nearby)	31.6	33.4	33.4

other regions in 2015/16, are projected to increase in the current marketing year, according to the USDA. Barge freight along the Illinois River and the mid-Mississippi River stayed steady at about 400 percent of tariff (approximately USD 18 -20 per tonne) in contrast to the multi-year low seen in mid-March at 220 percent (USD 10 per tonne). A Year-to-date (as of Aug 20) barge shipments for wheat, maize and soybeans since the start of the year totaled approximately 26 million tonnes versus 22 million versus last year, underscoring the rise in demand for US origin maize and soybeans since mid-year. Cumulative US exports for wheat, maize and soybeans for marketing year 2015/16 have caught up with last year's totals at 96 million tonnes. Outstanding sales of 17 million tonnes surpassed last year's totals of 10 million tonnes.

Forward curves

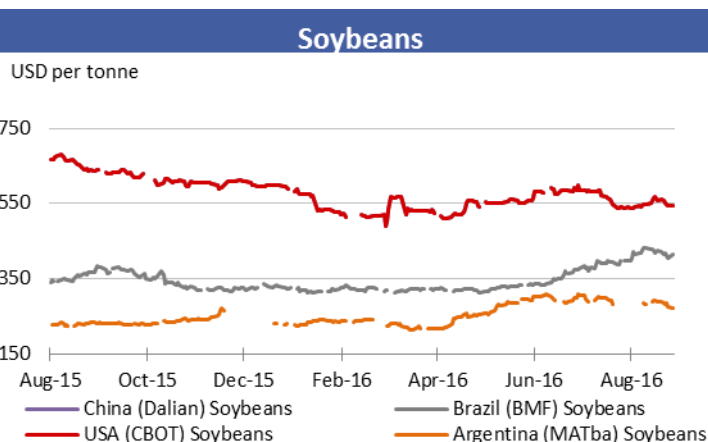
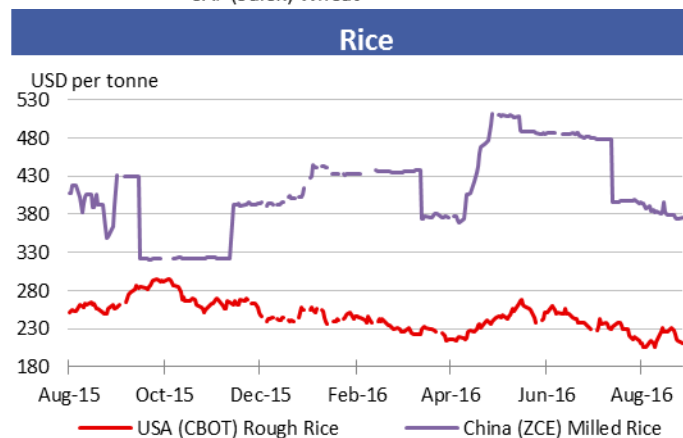
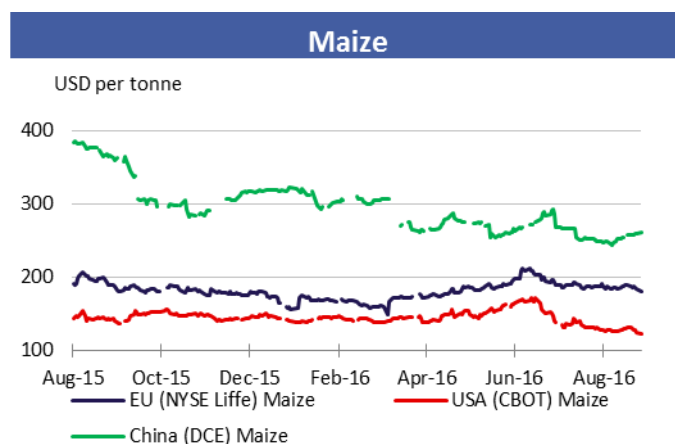
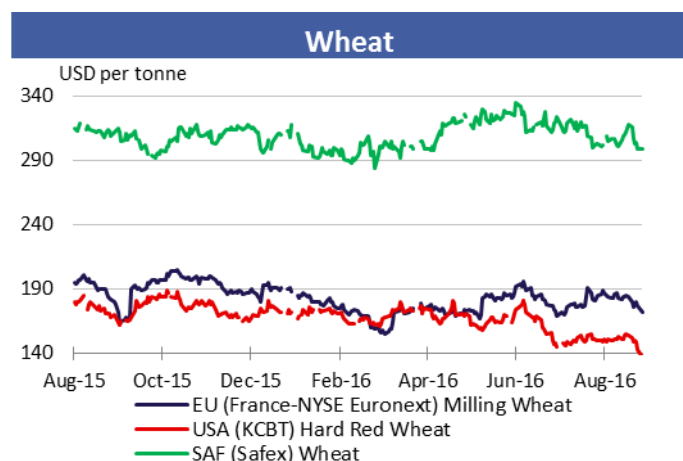
Forward curves for wheat, maize and soybeans reflected their different basis level configurations, steepening their slopes (contango) in wheat and maize while maintaining a flat to inverted curve (backwardation) for soybeans. In maize and wheat, the December 2016/December 2017 spread showed an USD 18, USD 20 per tonne carry while in soybeans the November 2016/November 2017 spread showed a USD 10 per tonne inversion. The nearby September soybean was inverted by USD 6 per tonne on the eve of the delivery period. Dispersed deliveries were made on the September wheat and maize futures while no deliveries were announced for September soybeans.

Investment flows

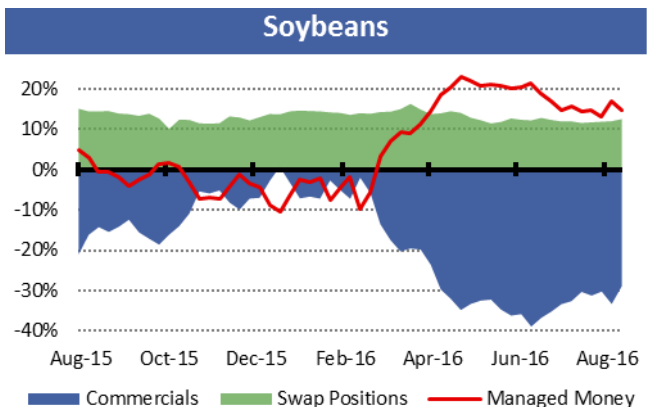
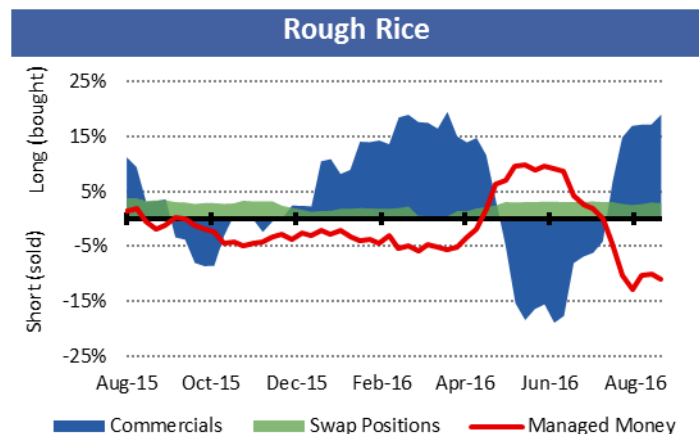
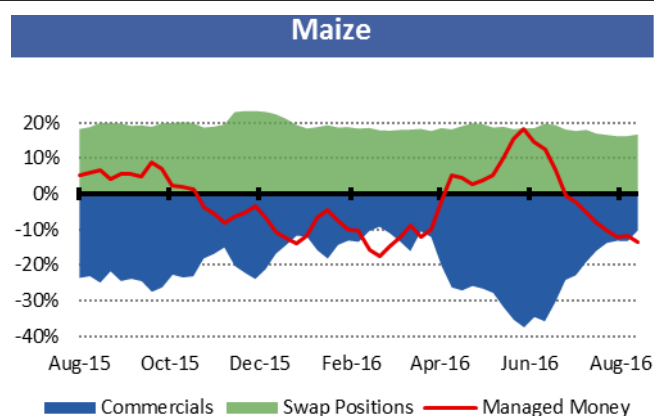
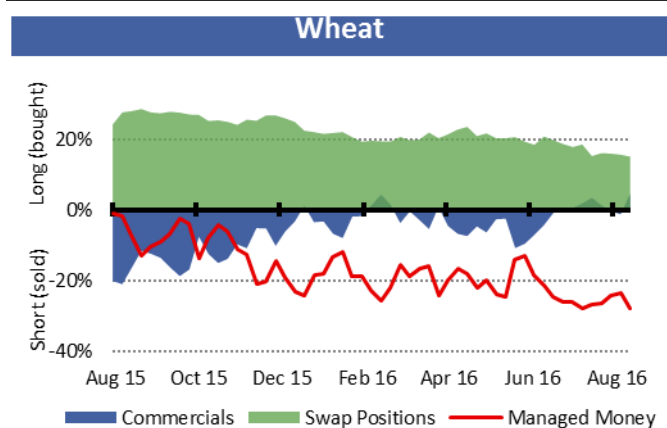
Managed money maintained its net short position in wheat for the twelfth month in a row, its longest extended bet that prices would decline in the commodity. While commercials were modestly short in wheat at month end, swaps dealers, which sell index products to retail investors based on futures prices, maintained their net long positions for the tenth successive year, despite their record of multi-year negative returns. Managed money reversed its net long maize position to net short in mid-July as crop conditions pointed to a potential bumper crop. In soybeans, managed money maintained a moderate sized long position that it had established in mid-March when export demand showed signs of increasing.

Market indicators

Daily quotations from leading exchanges - nearby futures

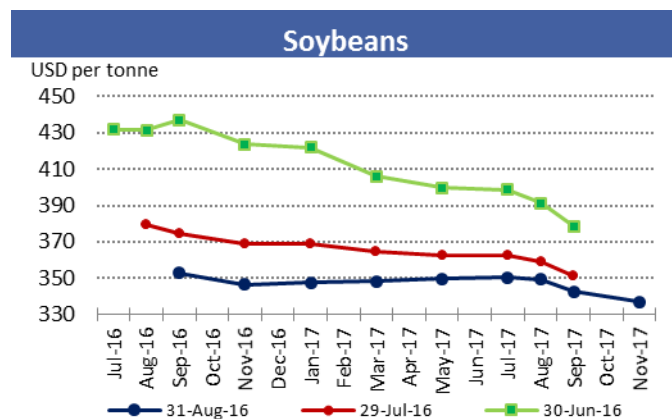
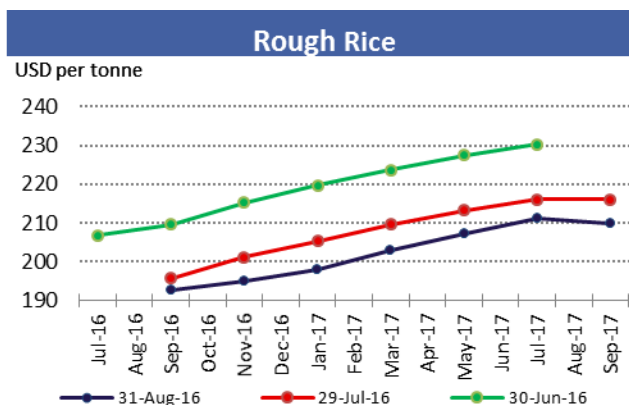
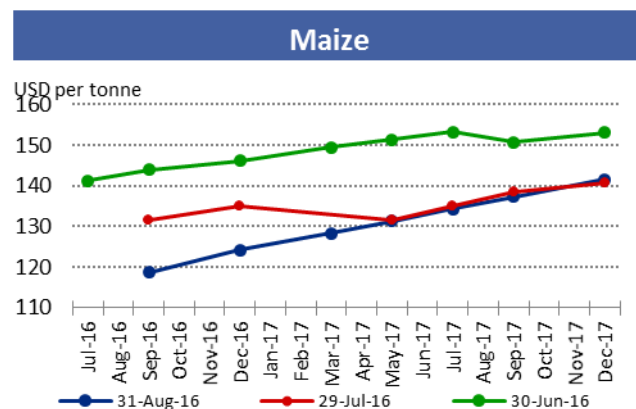
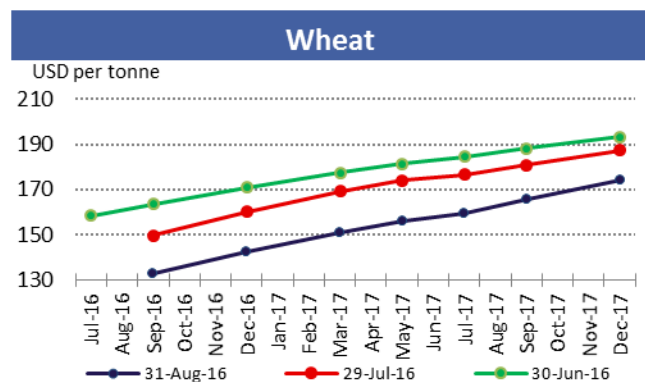


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

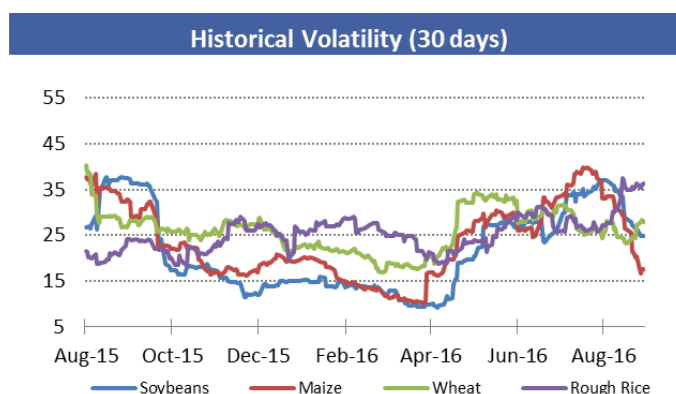
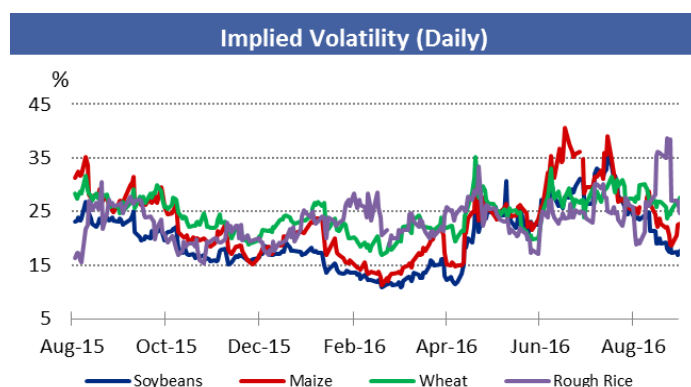


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

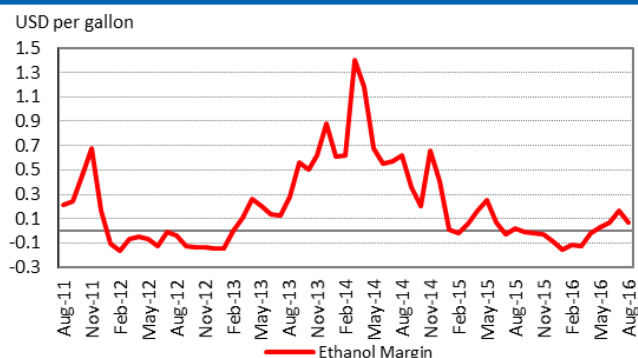
Monthly US ethanol update

- Falling **maize prices** were more than offset by falling **ethanol** and **DDGs** output **prices**, trimming producer margins in August.
- DDGs** prices followed maize lower prices, while ethanol prices were weighted down by large production volumes for the month.
- Ethanol production** remains strong with several weeks setting new output records. Output, on an annualized basis, exceeded 15.8 billion gallons for the month.
- While **margins** are down from last month, they remain positive and above year-ago levels.
- Maize prices** have been falling since mid-July on expectations of a large US crop.
- Ethanol futures prices** have fallen while gasoline (RBOB) futures prices have risen with oil prices, but ethanol remains in the historically uncommon position of being at a (slight) premium to gasoline.
- The US Environmental Protection Agency (**EPA**) is expected to finalize the 2017 Renewable Fuel Standard rules before the end of November.

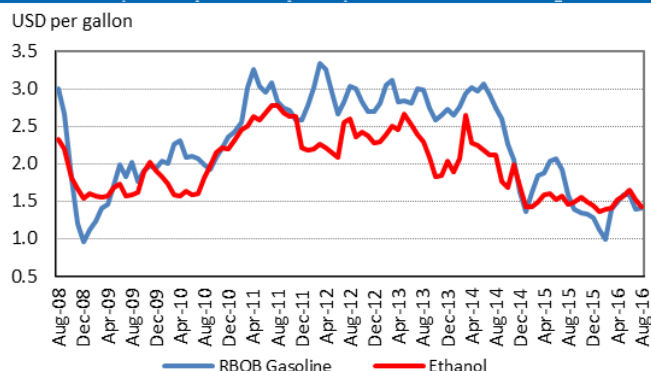
Spot prices IA, NE and IL/eastern corn belt average	Aug 2016*	Jul 2016	Aug 2015
Maize price (USD per tonne)	122.88	131.30	142.05
DDGs (USD per tonne)	124.31	143.18	146.29
Ethanol price (USD per gallon)	1.37	1.49	1.43
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.43	1.53	1.45
RBOB Gasoline (USD per gallon)	1.4	1.4	1.6
Ethanol/RBOB price ratio	101.8%	110.1%	91.4%
Ethanol margins IA, NE and IL/eastern corn belt average, USD per gallon)			
Ethanol receipts	1.37	1.49	1.43
DDGs receipts	0.38	0.44	0.45
Maize costs	1.14	1.21	1.31
Other costs	0.55	0.55	0.55
Production margin	0.07	0.17	0.02
Ethanol production (million gallons)			
Monthly production total	1346	1325	1244
Annualized production pace	15851	15605	14648

Based on USDA data and private sources
* Estimated using available weekly data to date.

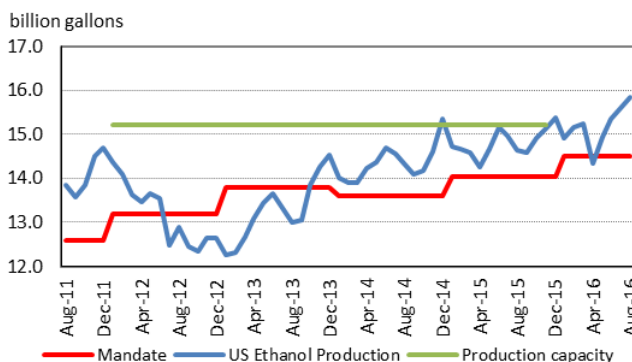
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

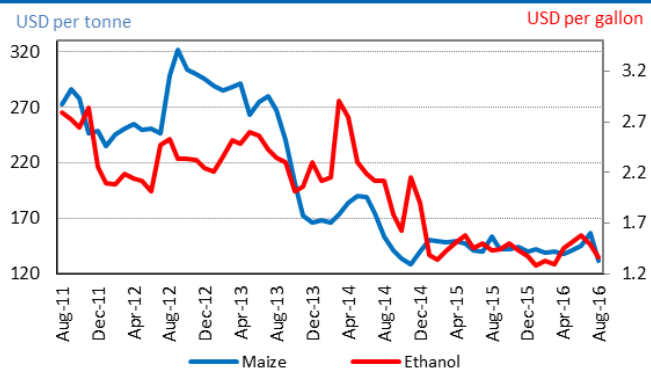


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

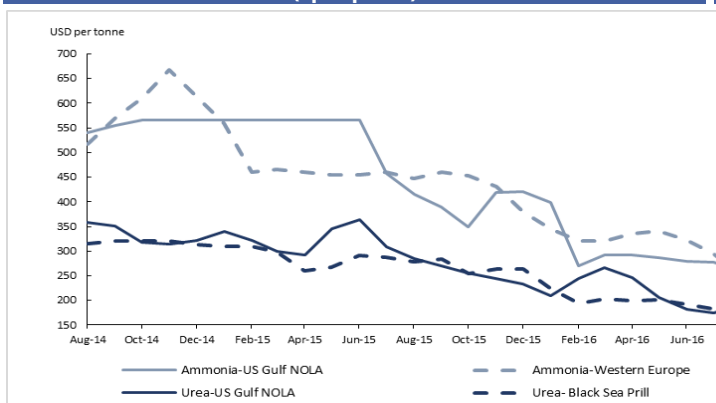
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

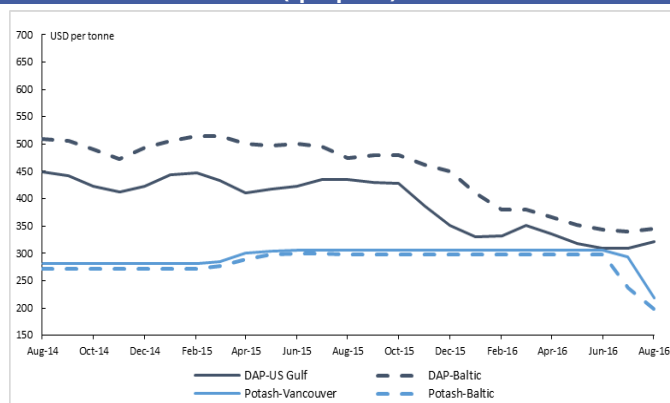
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

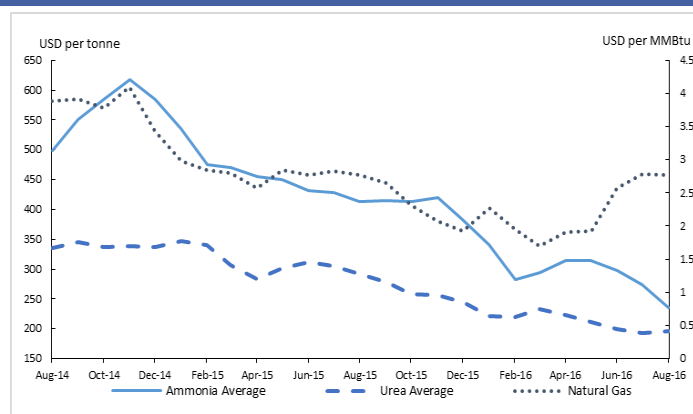
Ammonia and Urea (Spot prices)



Potash and Phosphate (Spot prices)



Ammonia Average, Urea Average and Natural Gas (Spot prices)



Charts Sources: Bloomberg

- The average price of **ammonia** fell by 14.2 percent, reaching its lowest level in 12 months due to weak demand and a decrease in raw material costs (natural gas and coal). Plant openings in the Russian Federation, Saudi Arabia and Iran also increased world production, pushing prices further down.
- The average price of **urea** increased by 1.4 percent, driven by stronger demand ahead of India's monsoon season and North America's autumn wheat pre-planting season. A new exporting plant in Nigeria and expansions in North America and Malaysia are expected to increase supply.
- **DAP** m/m prices showed signs of recovery for both US Gulf and Baltic. India has been making sporadic purchases despite its already large inventory.
- **Potash** m/m prices fell to their lowest level in the last two years as both China and India postponed their new import contracts.
- Despite hurricane fears in the Gulf of Mexico, which could hamper production, stacking inventories and weak demand pushed **natural gas** prices down m/m.

Region	August average	June std. dev	% change previous month	% change previous year	12-month high	12-month low
Ammonia-US Gulf NOLA	256.8	16.5	-7.3%	-38.1%	565.0	256.8
Ammonia-Western Europe	251.3	14.4	-14.8%	-43.9%	667.5	251.3
Urea-US Gulf	193.3	5.1	10.8%	-32.2%	363.6	174.4
Urea-Black Sea	188.8	2.5	3.1%	-32.2%	320.0	183.0
DAP-US Gulf	322.3	5.9	4.3%	-26.1%	449.5	309.0
DAP-Baltic	345.0	0.0	1.5%	-27.4%	515.0	340.0
Potash-Baltic	198.0	0.0	-16.2%	-33.6%	300.0	198.0
Potash-Vancouver	218.8	19.5	-25.5%	-28.3%	305.0	218.8
Ammonia Average	235.1	13.3	-14.2%	-43.2%	617.8	235.1
Urea Average	195.5	3.1	1.4%	-33.0%	347.6	192.8
Natural Gas	2.8	0.1	-0.7%	0.2%	4.1	1.7

Source: Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-annual price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

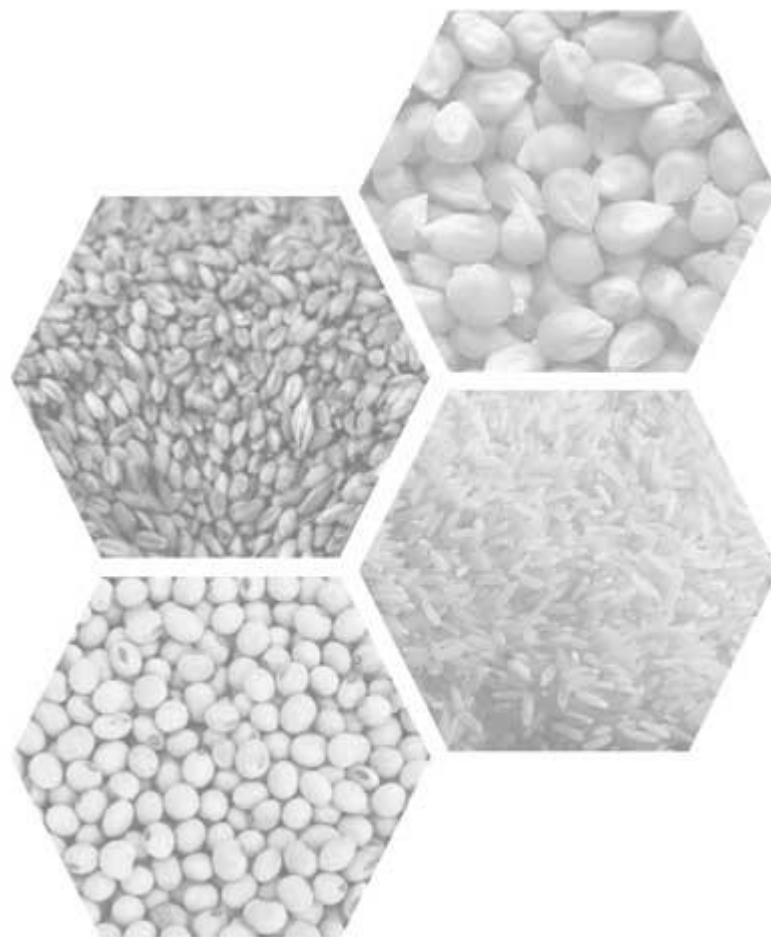
Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2016 AMIS Market Monitor Release Dates

04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December



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